TEACHER GUIDE

SQA National 5 Business Management (C810 75)

Stock

Management of operations
Inventory management



A revision lesson. Pupils run a car dealership in firms of four and revise stock on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Reorder level

Round 1

Never run out for them.

Reorder level, in cars?

They buy each week	**2 cars**
Supplier delivers in	**2 weeks**
Buffer stock	**5 cars**

ANSWER

£9

2 × 2 + 5 = 9 cars

Why: The buffer of 5 covers a late delivery or a busy week.

2 Too much stock

Round 1

Your yard holds far more cars than you sell in a month.

Which two problems are most likely?

A Running out of cars to sell
B Higher storage costs
C Lower insurance costs
D Cash tied up in stock
E Lost sales from empty space

ANSWER

✓ **Higher storage costs**
✓ **Cash tied up in stock**

Why: Extra stock holds cash and costs money to keep.

3 Reorder in order

Round 2

You use a reorder level and buffer stock.

Put these in order, first to last?

A New cars arrive
B The lead time passes
C Stock falls to the reorder level
D You place an order

ANSWER

1. **Stock falls to the reorder level**
2. **You place an order**
3. **The lead time passes**
4. **New cars arrive**

Why: The order goes in at the reorder level and arrives after the lead time.

Topic tasks

4 Cars to order now

Round 2

Fill the yard on delivery.

Cars to order now, to fill the yard on delivery?

In stock now	**13 cars**
They buy each week	**5 cars**
Supplier delivers in	**2 weeks**
Your yard holds at most	**15 cars**

ANSWER

12 cars

13 − 5 × 2 = 3 left; 15 − 3 = 12 cars

Why: 3 are left when the order lands, so order 12.

5 JIT or hold stock

Round 3

Your supplier is two hours away and always on time. Hold 40 cars, or hold 10 and reorder often?

Which should you choose, and why?

A Hold 40 cars

B Hold 10 and reorder often

ANSWER

✓ Hold 10 and reorder often

Why: A reliable, nearby supplier lets you hold less and free up cash.

6 Weeks until reorder

Round 3

When do you order next?

Weeks until you reorder?

They buy each week	**3 cars**
Supplier delivers in	**3 weeks**
Buffer stock	**2 cars**
In stock	**14 cars**

ANSWER

£1

Reorder level 3 × 3 + 2 = 11; (14 − 11) ÷ 3 = 1

Why: Reorder in 1 weeks, when 11 cars are left.

Final questions

Each pupil answers 6 final questions on stock. They come from these 7 questions.

1. What is one risk of relying on a single overseas parts supplier?
   ✔ **A problem abroad could stop its supply**

2. Which evidence set is most useful when selecting a supplier for regularly needed vehicle parts?
   ✔ **Price, quality, reliability and delivery performance**

3. Supplier A is slightly cheaper, but frequently delivers parts late. Supplier B is reliable. Which factor supports choosing B for urgent repairs?
   ✔ **Dependability of delivery**

4. Delivery fuel costs rise sharply. Which operational response is most likely to reduce the impact?
   ✔ **Plan shorter routes with fuller vans**

5. A key supplier enters insolvency. Which information is most important first?
   ✔ **Open orders, stock cover and backup suppliers**

6. A supply chain is every business that helps get a product to the customer. A tyre maker’s factory floods. Using this, what happens to a workshop?
   ✔ **Its tyre deliveries may stop, though it did nothing wrong**

7. A reliable supplier delivers the right parts, in full, when promised. The cheapest supplier delivers late one time in three. What does staying with it really cost?
   ✔ **Delayed jobs and waiting customers can cost more than the saving**